centage of securities which do not conform to the standard patterns, but instead modify or mingle the customary provisions.

Briefly stated, these standard patterns are as follows:

I. The bond pattern comprises:
   A. The unqualified right to a fixed interest payment on fixed dates.
   B. The unqualified right to repayment of a fixed principal amount on a fixed date.
   C. No further interest in assets or profits, and no voice in the management.

II. The preferred-stock pattern comprises:
   A. A stated rate of dividend in priority to any payment on the common. (Hence full preferred dividends are mandatory if the common receives any dividend; but if nothing is paid on the common, the preferred dividend is subject to the discretion of the directors.)
   B. The right to a stated principal amount in the event of dissolution, in priority to any payments to the common stock.
   C. Either no voting rights, or voting power shared with the common.

III. The common-stock pattern comprises:
   A. A pro rata ownership of the company's assets in excess of its debts and preferred stock issues.
   B. A pro rata interest in all profits in excess of prior deductions.
   C. A pro rata vote for the election of directors and for other purposes.

Bonds and preferred stocks conforming to the above standard patterns will sometimes be referred to as *straight bonds* or *straight preferred stocks*.

Numerous Deviations from the Standard Patterns. However, almost every conceivable departure from the standard pattern can be found in greater or less profusion in the security markets of today. Of these the most frequent and important are identified by the following designations: *income* bonds; *convertible* bonds and preferred stocks; bonds and preferred stocks with *stock-purchase warrants* attached; *participating* preferred stocks; common stocks with *preferential features; nonvoting* common stock. Of recent origin is the device of making bond interest or preferred dividends payable either in cash or in common stock at the holder's *option*. The *callable feature* now found in most bonds may also be termed a lesser departure from the standard provision of fixed maturity of principal.